

being paid. In the past, she got into the habit of running to the offices to pay her bills on the day they were due. But now, her electricity and phone would never be cut off again. She was elated when the IRS started to accept credit cards to pay her tax obligations.

Many of her credit cards made payment easier by sending her blank checks in the mail. These checks were tied to her account and made payment for other bills very easy. From time to time, Perla was forced to go to her bank and get a cash advance from her credit card to get accessible money.

Perla never analyzed her credit card statements to realize that cash advances were normally assessed at a higher rate of interest than straight purchases. In fact, she barely looked at anything other than the minimum payment that was due. Opening her statements became painful as the balances grew larger and larger along with the size of the stack of bills. In fact, on the day that she paid bills, Perla usually became very depressed. It didn't help that she used shopping as a way to combat depression. This ultimately just ended up fueling her depression even more by increasing her debt.

Eventually a day came when Perla had maxed out her credit cards and couldn't obtain any more, even though she had filled out numerous credit card applications. They all came back unapproved after the credit companies ran a credit check. When Perla requested a free copy of her credit report to find out why she had been turned down, she was horrified to discover the true extent of her debt. With such a high debt-to-income ratio, she now understood why she no longer was a good candidate.

If you don't know how much debt you can handle, it is easy to get in over your head. Experts say the secret to a healthy home balance sheet is to keep your monthly consumer debt payments down to around 10 to 15 percent of your total net income. The absolute maximum is 20 to 25 percent. This

